

investments should be made only in issues of unimpeachable soundness, and that securities of inferior grade must be bought only on an admittedly speculative basis.

New York Savings-Bank Law as a Point of Departure. As a matter of *practical policy*, an individual bond buyer is likely to obtain fairly satisfactory results by subjecting himself to the restrictions which govern the investment of savings banks' funds. But this procedure cannot be seriously suggested as a *general principle of investment*, because the legislative provisions are themselves far too imperfect to warrant their acceptance as the best available theoretical standards. The acts of the various states are widely divergent; most of them are antiquated in important respects; none is entirely logical or scientific. The legislators did not approach their task from the viewpoint of establishing criteria of sound investments for universal use; consequently they felt free to impose arbitrary restrictions on savings-bank and trust funds, which they would have hesitated to prescribe for investors generally. The New York statute, generally regarded as the best of its class, is nevertheless marred by a number of evident defects. In the formulation of comprehensive investment standards, the New York legislation may best be used, therefore, as a guide or point of departure, rather than as a final authority. The ensuing discussion will follow fairly closely the pattern set forth in the statutory provisions (as they existed in 1939); but these will be criticized, rejected, or amplified, whenever such emendation appears desirable.

GENERAL CRITERIA PRESCRIBED BY THE NEW YORK STATUTE

The specific requirements imposed by the statute upon bond investments may be classified under seven heads, which we shall proceed to enumerate and discuss:

1. The *nature* and *location* of the business or government.
2. The *size* of the enterprise, or the issue.
3. The *terms* of the issue.
4. The *record* of solvency and dividend payments.
5. The relation of *earnings* to interest requirements.
6. The relation of the *value* of the property to the funded debt.
7. The relation of *stock* capitalization to the funded debt.